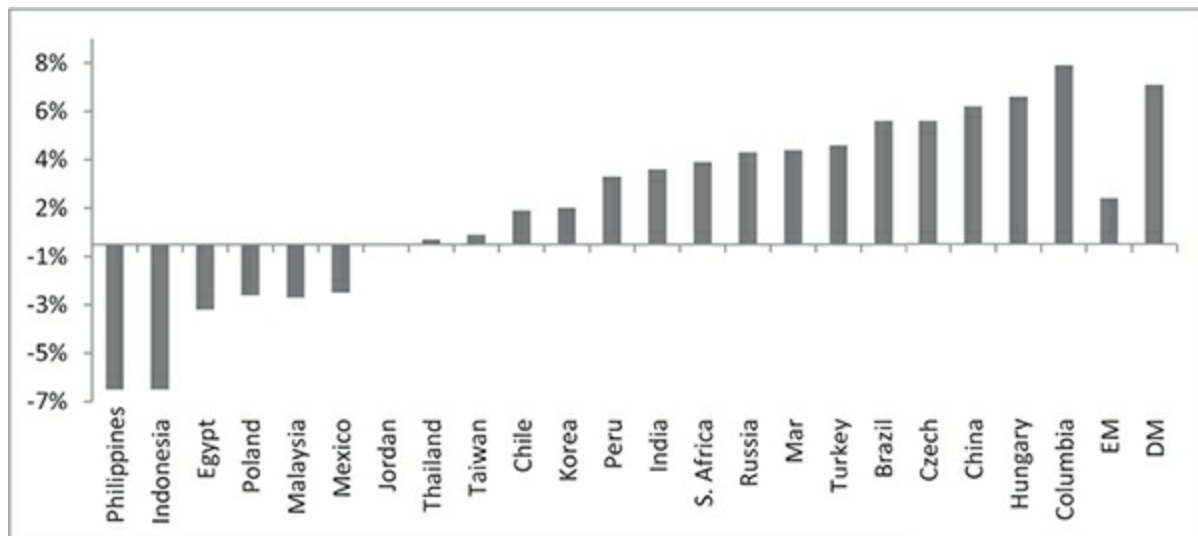


Exhibit 48: Annualized outperformance of small-caps over large-caps over 2000–13



Source: Elroy Dimson, Paul Marsh & Mike Staunton using data from MSCI Barra, Credit Suisse Investment Yearbook (2014).

Note: EM = Emerging Markets; DM = Developed Markets

However, over a long holding period (thirty to forty years), neither the US nor the Asia Pacific ex-Japan indices have shown a meaningful outperformance of small-cap over large-cap. The outperformance of thirty-nine-year CAGR from 1978 to 2017 for the US small-cap Russell 2000 over US large-cap Russell 1000 has been only 0.8 per cent. In fact, Asia Pacific ex-Japan small-cap index has underperformed large-cap index by -0.6 per cent between 1995 and 2017.

In India, as can be seen in the exhibit below, there have been prolonged phases of outperformance of small-cap stocks over large-cap stocks. The longest such phase of the past decade lasted from 2013 to 2017. For this comparison, we have used the BSE 100 index as the benchmark for large-caps and BSE small-cap index as the benchmark for small-caps. (Note: the BSE Small-cap includes 768 stocks with a median market cap of Rs 1600 crore.) Over the past eight years (2009 to 2017), the BSE small-cap index has beaten the BSE 100 by 4.6 per cent per annum.